

are involved in each instance. Like so many other elements in analysis, this point usually requires an investigation going well beyond the reported figures. The following examples will illustrate the type of situation and analysis with which we have been dealing.

Example A: Purity Bakeries Corporation. This large maker of bread and cake operates through a number of subsidiaries, of which one of the largest is Cushman's Sons, Inc., of New York. Cushman's has outstanding \$7 and \$8 cumulative preferred stock, not guaranteed by Purity. The annual reports of Purity are on a consolidated basis and show earnings after deduction of full dividends on those Cushman's preferred shares not owned by Purity, whether earned or paid. The separate reports of Cushman's reveal that between 1934 and 1937 its operations resulted in a considerable loss to Purity, on its accounting basis, *viz.*:

(000 omitted)

Year	Purity net income as reported	Loss of Cushman's after full preferred dividends	Purity earnings excluding Cush- man's operations
1937	\$463	\$426	\$889
1936	690	620	1,310
1935	225 (<i>d.</i>)	930	678
1934	209	173	382
Average 4 years	278	537	815
Per share of Purity	0.36	0.71	1.06

The earnings are thus seen to be three times as large excluding Cushman's as they were including Cushman's. Could the analyst have reasoned that the former provides the truer measure of Purity's earning power, since the company can be expected either again to earn money from that subsidiary (as it had earned it in the past up to 1934) or to drop it? The question of inter-corporate relationships would have to be considered. A note in the 1937 report of Cushman's indicated that Purity was making a fairly large service charge in connection with its subsidiaries' operations, which suggests that Cushman's might be of some extra value in absorbing overhead. This matter would call for a careful inquiry.